

Submission MICRO1-PS1-SUB08

Question MICRO1-PS1-Q01

scan faint / margin cut off

visible work:

$$33 - 5P = 3 + P \Rightarrow P^* = (33 - 3) / (5 + 1) = 5.00 \dots ?$$

last line is hard to read; maybe $P^* = 5.00$, $Q^* = 8.00$

Question MICRO1-PS1-Q02

scan faint / margin cut off

visible work:

$$\% \Delta Q = -2 / 19.0 \dots ?$$

last line is hard to read; maybe elasticity = -1.11; elastic

Question MICRO1-PS1-Q03

scan faint / margin cut off

visible work:

Shift the wedge between buyer and seller prices by t.... ?

last line is hard to read; maybe buyer price minus seller price equals tax; quantity falls; deadweight loss increases

Question MICRO1-PS1-Q04

scan faint / margin cut off

visible work:

$SMC = PMC + \text{marginal external cost}$, so SMC lies above PMC.... ?

last line is hard to read; maybe social MC above private MC; Pigouvian tax can internalize the external cost

Question MICRO1-PS1-Q05

scan faint / margin cut off

visible work:

At the ceiling, Q_d exceeds Q_s ?

last line is hard to read; maybe $Q_d > Q_s$ creates a shortage; queues/rationing may allocate units

Question MICRO1-PS1-Q06

scan faint / margin cut off

visible work:

$$35 - 4P = 3 + P \Rightarrow P^* = (35 - 3) / (4 + 1) = 6.40 \dots ?$$

last line is hard to read; maybe $P^* = 6.40$, $Q^* = 9.40$